

POLICY COMMENTARY · SEPTEMBER BOC

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Bank of Canada holds at 2.25%

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THE TAKE

“The new trade war increases monetary policy risk on both sides of the ledger, raising inflation pressures while hamstringing growth. This should keep the central bank on hold for longer than markets currently expect.”

— JAY ZHAO-MURRAY · CHIEF ECONOMIST · SIBLEY CREEK

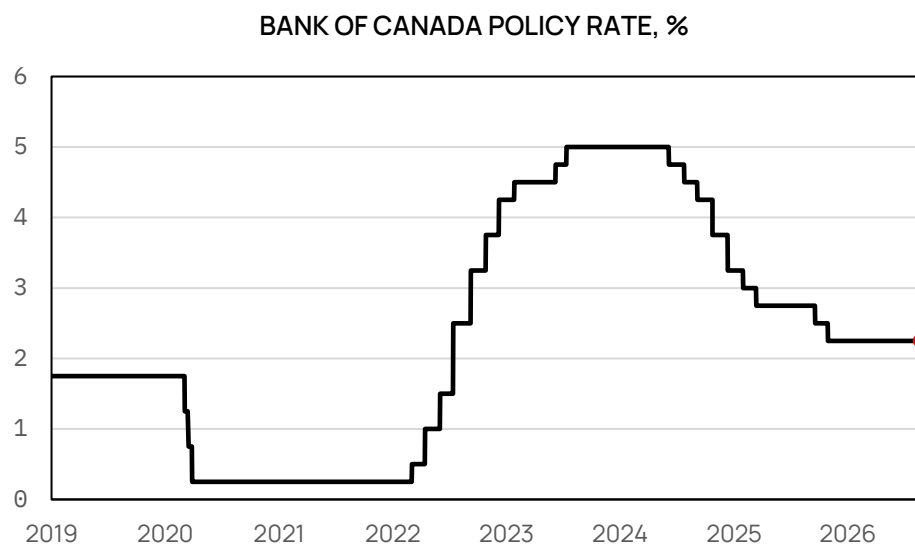
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Bank of Canada holds for seventh straight meeting.

The Bank of Canada held its policy rate at 2.25% for the seventh consecutive meeting, noting that the two opposing forces keeping policy steady—high inflationary pressures and growth headwinds—have both grown more severe. Specifically, the bank noted that “the upside risks to inflation have increased, while new tariffs make growth prospects more uncertain,” while maintaining language that monetary policy could change “as needed.”

Earlier this summer, we anticipated that fighting in the Middle East would subside and that trade uncertainty would diminish after the CUSMA renegotiation date, which we thought would give the bank clarity and lead to a sooner end to the pause. Unfortunately, we were wrong. Hostilities in the Strait of Hormuz are ongoing, keeping the price of a barrel of oil around \$90, while trade talks with the US collapsed in late August leading to the imposition of tariffs and counter-tariffs as of last week.

Bank of Canada stays on hold at 2.25%.



Source: Bank of Canada.

The bank sounded positive about the economy’s performance over the course of the summer, noting that growth was in line with the expectations laid out in the July MPR. Underlying inflation still looks relatively contained, with core measures hovering near 2% and the bank also noting that higher energy prices don’t seem to be triggering price hikes in other components yet. Still, high oil and gas prices could trigger second-round inflationary effects by raising transportation

and production costs. The new trade war will also raise inflationary pressures while harming growth, particularly in areas like Ontario's auto manufacturing industry.

Markets are too hawkish

Given the increase in uncertainty and the significance of two-sided risks (higher inflation and lower growth), we now think the Bank will stay on pause for longer—at the very least, through the end of this year. Markets do not seem to have fully accounted for the significant increase in growth headwinds created by the new trade war—CORRA pricing indicates that traders expect roughly a coin flip's chance of a hike by year-end, with a full hike priced in by the end of Q1 2027.

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